Robustness −− Italy: local vs global content and the euro crisis

Subsample	Months	R2 CF (IS)	R2 GCF (IS)	t(CF_perp)	t(GCF)	R2 CF (OOS)	R2 GCF (OOS)
Full sample	353	0.287	0.074	3.75	2.08	−0.055	−0.022
Pre−crisis (..2007:06)	151	0.453	0.060	5.54	−0.74	−−	0.087
Financial crisis (2007−09)	30	0.474	0.015	6.56	−3.11	−−	−0.145
Euro crisis (2010−12)	36	0.748	0.272	10.27	−0.37	0.215	−0.036
Post−crisis (2013−)	136	0.177	0.150	2.45	2.61	−0.156	−0.010

Italian local−currency rx_t12 across subsamples. 'R2 CF (IS)' and 'R2 GCF (IS)' are single−factor in−sample fits; t(CF_perp) and t(GCF) are the horse−race HAC t−statistics from rx ~ CF_perp + GCF, with CF_perp the part of the Italian cycle factor orthogonal to the global factor (full−sample projection). 'R2 CF/GCF (OOS)' are the recursive Campbell−Thompson R2 scored in the window. The surviving local Italian content of Phase II is concentrated in the 2010−2012 sovereign−debt crisis.